(iv) The concept of ***'joint sector'*** was developed which allowed partnership among the centre, state and the private sector while setting up some industries. The governments had the discretionary power to exit such ventures in future. Here, the government wanted to promote the private sector with state support.

(v) The Government of India had been facing the foreign exchange crunch during that time. To regulate foreign exchange the Foreign Exchange Regulation Act (FERA) was passed in 1973[16]. Experts have called it a ***'draconian'*** act which hampered the growth and modernisation of the Indian industries.

(vi) A limited permission of foreign investment was given with the Multinational Corporations (MNCs) being allowed to set up their subsidiaries in the country[17].

INDUSTRIAL POLICY STATEMENT, 1977

The industrial policy statement of 1977 was chalked out by a different political set up from the past with a different political fervour—the dominant voice in the Government was having an anti-Indira stance with an inclination towards the Gandhian-Socialistic views to the economy. We see such elements in this policy statement:

(i) Foreign investment in the ***unnecessary areas*** were prohibited (opposite to the IPS of 1973 which promoted foreign investment via technology transfer in the areas of lack of capital or technology). In practice, there was a complete 'no' to foreign investment.[18]

(ii) Emphasis on the village industries with a redefinition of the small and cottage industries.

(iii) Decentralised industrialisation was given attention with the objective of linking masses to the process of industrialisation. The District Industries Centres (DICs) were set to promote the expansion of the small and cottage industries at a mass scale.